



Monthly Sugar Note

28th July 2026

Markets

The ceasefire agreed between the United States and Iran in mid-June provided temporary relief to energy markets, with crude oil prices retreating to around USD 70/bbl by the end of the month. However, the truce proved fragile and fell well short of a lasting political agreement. As hostilities resumed, geopolitical risk returned to the forefront, driving oil prices sharply higher once again.

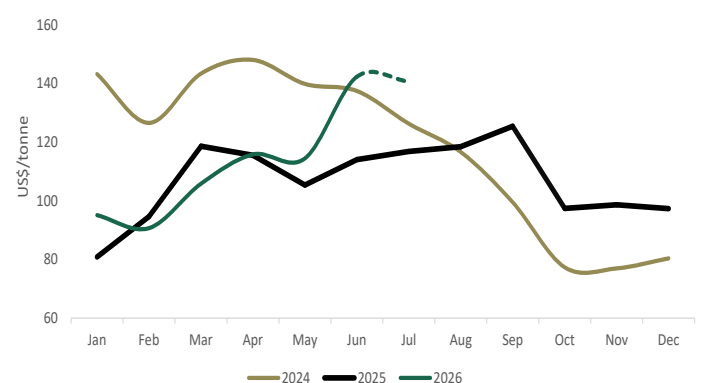
As is typically the case during periods of heightened geopolitical tension, the rally in crude oil spilled over into broader commodity markets. Sugar was the exception, as fundamentals continuing to point to a sizeable global surplus.

The recent price development continues show quotes floating in the 14c/lb levels. Weather fundamentals still play an important role. June rainfall patterns broadly followed expectations typically associated with El Niño years. Dryness in India has now become a confirmed concern, although some rainfall improvement was observed in July. Thailand has also experienced below-normal precipitation across key cane-growing areas, while Brazil C/S recorded rainfall levels approximately three times higher than the historical average in June, raising concerns over potential impacts on the harvest pace and crop quality.

Figure 1: Daily – Sugar prices



Figure 2: Monthly – Front month White Premium



Source: Bloomberg and ED&F Man Commodity Research

Funds reacted to the evolving weather narrative by reducing their bearish exposure, cutting their net short position from around 145k lots in mid-June to approximately 85k lots by end of July. Overall, a combination of renewed weather concerns, fund positioning adjustments, and broader commodity market strength provided support for sugar prices, allowing the market to recover toward the 15 c/lb level.



On the other hand, the Brazil C/S crop figures and the weak line up add pressure to the quotes. According to the Ministry of Agriculture (MAPA), up to the end of June, cane crush reached 216.5mmt of cane, 9.2mmt ahead the past season. Millers continue to focus on ethanol with a sugar mix at 42%, 8.6 p.p. behind the past crop. For the time being, cane quality (ATR) stands ahead of the past crop, at 124kg/ton (vs. 123.1kg/ton in the past season). Lower mix takes sugar output at 10.7mmt, about 1.6mmt behind the past crop.

Meanwhile, Brazil's ethanol production continues to run well ahead of last season, with total output nearly 2 bln litres higher year-on-year. Hydrous ethanol production from both corn and sugarcane is approaching 7.5 bln litres, up around 20% YoY, while anhydrous ethanol production is 691 mln litres above the previous crop at approximately 3.9 bln litres.

However, the increase in supply has not been matched by equivalent demand growth, resulting in continued pressure on ethanol prices. Hydrous ethanol values are currently trading around 150 points below sugar parity, reflecting the heavy supply environment. The government's decision to raise the mandatory ethanol blend from 30% to 32% should provide some additional support to consumption. With implementation expected in August, Brazil Center-South could see approximately 700 mln litres of incremental ethanol demand.

Nevertheless, despite this additional consumption, ethanol ending stocks are still expected to remain at record-high levels. In other words, while the higher blend rate may provide some relief to the ethanol market, it is unlikely to be sufficient to significantly alter the broader sugar balance or provide a meaningful bullish catalyst for sugar prices.

The outlook is more constructive for the white sugar market. The closure of the Strait of Hormuz, combined with expectations of lower production in India, Europe, and Thailand, has reinforced a bullish sentiment among white sugar participants. With supply availability becoming increasingly constrained, the white sugar premium above USD 140/mt may prove to be more structural and could remain elevated for an extended period.

In contrast, the raw sugar market continues to lack a clear supportive catalyst. Despite the bullish developments in whites, raw sugar fundamentals remain weighed down by ample global availability and the absence of a significant supply disruption capable of driving prices to higher levels.

Fundamentals

- **Brazil C/S:** Sugarcane crushing in totalled 31.15mmt in the second half of June of the 26/27 crop year, a 28.4% drop compared to the same period of the previous cycle, according to data from the Ministry of Agriculture. The south-central region experienced atypical rainfall this year, which has interfered with harvesting and industrial activities in June. Meanwhile, sugar production fell 44.2% in the same comparison, to 1.61mmt, and ethanol production dropped 13.1%, to 1.7 billion litres. In the accumulated period of the 2026/27 harvest from



April 1st to June 30th, the milling reached 216.48mmt of sugarcane, a 4.5% increase compared to the same period in 2025/26, after work was accelerated at the beginning, before the rains. Sugar production totalled 10.73mmt, a 12.7% decrease compared to the previous year, while ethanol production reached 11.51 billion litres, a 20.1% increase. Sugarcane processing plants in the south-central region of Brazil have prioritized ethanol production over sugar, since biofuel prices have been higher in great part of the season, though recent ethanol drops might change producers' decision in the rest of the crop. Producers recently received an additional incentive with the government's decision to increase the blend of anhydrous ethanol in gasoline from 30% to 32%. The measure could reduce Brazil's gasoline imports by 700 million litres over the rest of the season. Available ethanol stocks reached 4.13 billion litres in the end of June, a 38.7% increase compared to the same period of the previous cycle adding pressure to ethanol prices.

- **India:** India's 2025/26 sugar season is now virtually complete, with net sugar production close to 28mmt. Ending stocks at the end of September 2026 are expected at 3.4mmt, leaving the domestic market with a relatively tight balance sheet heading into the new season. Given the tightening domestic balance sheet and uncertain production outlook, we do not expect India to export sugar during the 2026/27 season. Domestic sugar prices have continued to strengthen modestly over the past week. Ex-mill prices are currently trading at INR 43,000-44,000/mt in central-west India and INR 44,000-45,000/mt in northern India. Prices are expected to remain well supported, with the potential for a more pronounced rally from Q3 onward should weather conditions fail to improve and production estimates move lower. The Indian government is closely monitoring the evolving supply situation. As domestic prices continue to firm, the government has imposed stockholding limits on sugar dealers across the country from 1 August to 30 November to curb hoarding, discourage speculative trading, and ensure adequate sugar supplies at reasonable prices during the festival season. Should the supply outlook deteriorate further, the government may also consider allowing imports of around 1.0 mmt of sugar at zero import duty to alleviate domestic shortages and contain inflationary pressures.
- **Asia:** Our current estimations reflect a range of 3-5% acreage reduction, citing higher profitability in alternative crops cassava and rubber as main reason for area switch. We have also marked a 5-8% reduction in agricultural yield assuming the potential El Nino impact from current weather conditions. On the latest for 26/27 China production, we increased production by 500k from 12.5mmt to 13mmt with higher acreage expectations, partially offset by lower agricultural yield under current weather conditions compared to 25/26.
- **US:** The July WASDE report showed significant changes in the US market. The main one was the correction of past years consumption figures which reduced stocks since the crop 19/20. As a result, projected opening stocks for the next season (26/27) were reduced by 150kt raw value (RV) to 1.5mmt. At the same time, production was adjusted lower by 55kt RV while consumption was increased by 51kt. All in all, the US increased its import quota from Mexico to balance its market. Mexico quota is now projected at 1221kt RV, 511% higher than the past season, being the highest value since the crop 2022/23. Over the past week, the United States has imposed a 25% tariff on Brazilian goods, reducing the competitiveness of Brazilian sugar in the U.S. market. Although imports under the tariff-rate quota (TRQ) are expected to continue, Brazilian over-quota sales (TR2) are likely to become uneconomical, creating additional opportunities for suppliers in Central America and Mexico. In the coming days, the U.S. is also expected to introduce additional import duties of between 10% and 12.5% on goods from approximately 60 countries over concerns related to forced labour. Among these are 19 countries that export raw sugar to the United States under the sugar TRQ system.
- **Mexico:** The Mexican crop 25/26 is virtually over with only 5 mills still crushing. As of July 5th, sugar output reached 5.3mmt, about 550kt more than the previous season. According to the Government, the country presented 2.5mmt of stocks by the end of June, 4% over the past season. Higher production and a small US quota led Mexico to export big volumes to the World Market, reaching 638kt (including US-re-exports), 55% more than the past season. Domestic sales and IMMEX demand were also higher. According to Conadesuca, from Oct/25 to Jun/26, local mills sold 2.9mmt of sugar, 3% more than the past season while IMMEX stood at



224kt, 21% ahead the previous season. Mexico rainfall has been good in June which should keep production in the crop 26/27 above 5.0mmt.

- **EU/UK:** July has been dominated by the continued heat dome that settled over western and central Europe, and the swing factor for the 2026/27 crop is now the persistence of drought through the second half of the month rather than the temperature itself. The crop is deep into its bulking phase, where moisture stress translates into lost root weight and sugar. The critical development this month is that the dryness has not broken. France entered mid-July with no meaningful rain in its key beet growing regions, and weather forecasts expect the poor rainfall pattern across far-western Europe to persist for at least ten days and possibly longer. In its end of June outlook, the European Commission had cut 2026/27 EU27 sugar production to 14.1 million tonnes, down around 15% YoY, with roughly a 9% fall in planted area and a 6.5% drop in yield. The concern through July is that the yield assumption now looks optimistic if the rain continues to hold off. The latest MARS bulletin projected EU sugar beet yield at 76ton/ha, 2% below the June result, 7% below the value observed in the past season but at the same level of the historical average.
- **CIS:** Weather related delays across central Russia meant the country fell short of its planting intentions this season, seeding roughly 1.145 million hectares against a target of about 1.172 million, nearly 5% below last year's 1.20 million hectares. Meteorological data suggests southern Russia should see better yields than last year, while the central region's planting delays have likely weighed on its potential. Domestic sugar prices have been climbing, a sign that concerns over the crop outlook are building, and harvesting was expected to get under way in the south. Sugar.ru continues to estimate 2026/27 output above 6.5 million tonnes, with carryover stocks projected below 600,000 tonnes, down from around 800,000 tonnes entering the 2025/26 season. In Ukraine, July showed a sharp regional split in growing conditions. Parts of the west have been short of rain for four months, and with beet needing water most in July and early August, producers warned the shortfall would cut into yields. A representative of Zakhidny Buh estimated losses of around 1% for every extra day without rain, while stressing that outcomes varied widely from plot to plot. The dryness is also risking pushing back the processing campaign. Sugar factories, including those of the Radekhiv group, stated that the start of the season could slip as roots needed more time to gain weight under the heat, a delay that would tighten early-campaign supply. Ukr sugar warned that poor spring weather, including frosts, would likely pull 2026/27 output below the 1.2 million tonnes .

Focus – El Nino

As of July 2026, El Niño is firmly established and is expected to strengthen through the remainder of the year, with the U.S. National Oceanic and Atmospheric Administration (NOAA) estimating a 97% chance that it will persist into early 2027. Current forecasts indicate an 81% probability that the event will become very strong by late 2026, potentially making it one of the most intense El Niño episodes since records began in 1950. Main sugar countries are already presenting some El Nino signs which will have implications in the next months.

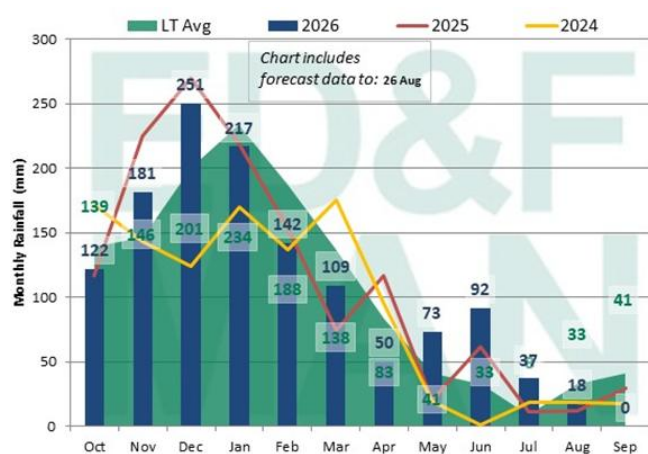
El Niño typically brings above-average rainfall to southern Brazil. However, in some years, the rainfall pattern shifts northwards, affecting the country's main sugarcane-producing region in São Paulo state. This has been the case in July 2026, when cumulative rainfall across Brazil's Centre-South cane belt reached 92 mm, approximately 300% above the historical average. Although the first half of July was relatively dry, heavy rainfall returned during the second half of the month. While these rains are supportive for the development of the 2027/28 crop, they have disrupted harvesting operations, reducing harvest pace and likely pushing a larger share of cane into the tail end of the crushing season (November–December). This delay is expected to lower cane quality, potentially increasing ethanol production regardless of prevailing market prices.



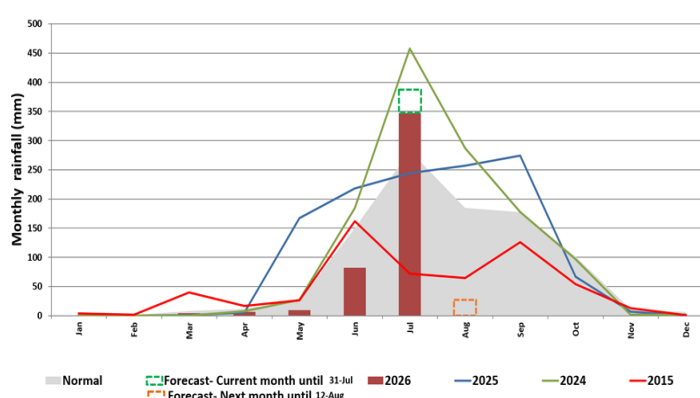
As of 20 July 2026, cumulative monsoon rainfall across India's major sugarcane-growing regions was approximately 14% below the long-term average, with the largest deficits concentrated in central-west India, the country's primary sugar-producing region. Rainfall weighted by cane-growing areas was 16% below normal in Maharashtra, 6% above normal in Karnataka, and 16% below normal in Uttar Pradesh between 1 June and 20 July. However, regional averages mask significant spatial variability. Field observations indicate that nearly 60% of Maharashtra's cane area and around 50% of Karnataka's have received below-normal rainfall since the onset of the monsoon. Combined with exceptionally high temperatures and dry weather throughout June and July, these conditions have constrained crop development, leaving cane growth below normal across much of central-west India.

The 14-day weather outlook offers little indication of meaningful rainfall, suggesting that crop stress is likely to persist in the near term. Weather conditions during August and September will therefore be critical, not only for determining yields of the current crop but also for shaping production prospects for the 2027/28 season. Should rainfall remain below normal for the remainder of the monsoon, production risks will increase further. Nearly half of the monsoon season has already passed, yet an estimated 55–60% of cane-growing areas are still awaiting meaningful rainfall. Water availability is also beginning to affect next season's crop. Continued dry weather could further reduce planting intentions, increasing downside risks for the 2027/28 crop.

Thailand's rainfall continues to lie below 2025's and 10-year historical averages through July. Northeast region took the hardest hit, recording a 33% drop YoY and 35% below the 10-year average, followed by the North with a 26% drop YoY and 24% below the 10-year average. The East region is the only area to record an improvement, with rainfall 25% higher YoY, though it only accounts for 5% of Thailand's cane share. As of 19th July, overall cumulative rainfall volume in Thailand stands at 460mm, approximately 30% below last year's at 650mm. This raises serious concerns on agricultural yields as dry conditions have persisted since the beginning of the year, affecting the early grand growth stage and overall cane development.

Figure 3: Monthly - Brazil C/S rainfall


Source: EDF Man Commodity Research

Figure 4: Monthly - India – Maharashtra rainfall


Across Central America, June rainfall was generally below historical averages. Nicaragua recorded the largest deficit, receiving just 168 mm of rainfall, 62.6% below the long-term average. Costa Rica also experienced significantly drier conditions, with precipitation totalling 177 mm compared with the historical average of 309 mm. In Honduras, rainfall reached 179 mm, approximately 33% below normal, while Guatemala recorded 328 mm, 12.3% below its historical average. El Salvador also remained drier than usual, with 274 mm of rainfall, representing a 17% deficit relative to the long-term average. However, it is important to note that rainfall during the Central American wet season is typically



abundant, meaning that even with below-average precipitation, moisture levels may still be sufficient to support normal sugarcane development.

Prices Tab

New York #11				London #5			
(cents/lb)	27-Jul	30-Jun	% change	(\$/tonne)	27-Jul	30-Jun	% change
Oct (26)	14.58	14.82	-1.6% ↓	Oct(26)	458.4	467.2	-1.9% ↓
Mar (27)	15.47	15.76	-1.8% ↓	Dec (26)	458.6	464.9	-1.4% ↓
New York #16				White Premium			
(cents/lb)	27-Jul	30-Jun	% change	(\$/tonne)	27-Jul	30-Jun	% change
Sep (26)	36.25	36.00	0.7% ↑	Oct/Oct	137.0	140.5	-2.5% ↓
Nov (26)	36.25	36.00	0.7% ↑	Dec/Oct	137.2	138.2	-0.7% ↓
Macro				Currencies			
Indicators	27-Jul	30-Jun	% change	Against US\$	27-Jul	30-Jun	% change
CRB	383.5	353.6	8.4% ↑	Euro (EU) *	1.137	1.142	-0.5% ↓
Gold	4,075	4,007	1.7% ↑	Pound (GB) *	1.329	1.326	0.2% ↑
Brent Oil	88.36	72.92	21% ↑	Real (Brazil)	5.116	5.161	0.9% ↑
Baltic Dry	2,696	2,667	1% ↑	Rupee (India)	95.91	94.66	-1.3% ↓
Handysize	903	941	-4% ↓	Rouble (Russia)	78.02	78.70	0.9% ↑

(* rate is US dollars per FX)

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